STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Mr Rohan Ingleton

Of

242 North Road
BRIGHTON EAST VIC 3187

Prepared on:

26th April 2018

By your Adviser:

Andrew Lord *B Bus (Acc), Dip FS (Fin Plan)*

Lakeside Financial
Level 1, 99 Bay Street
Brighton VIC 3186

Ph: 03 9596 5111 Fax: 03 9596 3222
Email: *andrew.lord@lakesidefinancial.com.au*

Authorised Representative # 324798

Pareto Group Pty Ltd
ABN 11 155 278 078 Australian Financial Services Licensee No. 418700
1/99 Bay Street, Brighton, Vic, 3186
Ph: 03 9596 5111 Fax: 03 9596 3222

What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

2/05/2018

Mr Rohan Ingleton
242 North Road
BRIGHTON EAST VIC 3187

Dear Rohan,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don’t act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Structure of investment assets

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14 day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Rohan, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Invest your existing surplus funds in a diversified portfolio that is conservative in nature.
- Utilise a portion of the funds (and compounded earnings) to fund private school secondary education for your children

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr
First Name	Rohan
Surname	Ingleton
Gender	M
Date of Birth	22/09/1968
Age Last Birthday	49

Employment Details

Occupation	Partner
Business Name	Madgwicks Lawyers

Estate Planning

	Rohan
Do you have a Current Will?	Yes
Do you have Current Powers of Attorney?	Yes
Do you have a Testamentary Trust?	Yes

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Residential Home	$2,600,000
Lotus Elise	$35,000
Lotus Esprit	$40,000
Porsche Cayenne 2016	$85,000
Mercedes A45	$74,000
Total Lifestyle Assets	**$2,834,000**
Investment Assets	
Cash	$1,112,000
Loan to Madgwicks	$579,000
Direct shares and funds	$1,700
Pengana fund (S Black)	$23,000
Investment bond 5/2017	$46,000
Gold	$4,321
Property	
2 Jasper Road, Bentleigh	$1,150,000
206/250 St Kilda Road, Melbourne	$800,000
5/2-4 Faulkner Street, Bentleigh	$800,000
10/2-4 Faulkner Street, Bentleigh	$825,000
Total Investment Assets	**$5,341,021**
Self-Managed Superannuation Fund (SMSF) Assets	
Cash	$91,000
Medibank	$10,211
Vanguard funds and Pengana fund	$1,178,000
Porsche 911	$100,000
Porsche 944	$60,000
Porsche 928	$20,000
Porsche 968 CS	$85,000
Total Superannuation Assets	**$1,544,211**
Total ASSETS	**$9,719,232**

LIABILITIES

Porsche Cayenne 2016	$130,000
Mercedes A45	$74,000
Tax liability	$216,000
2 Jasper Road, Bentleigh	$738,000
206/250 St Kilda Road, Melbourne	$523,000
5/2-4 Faulkner Street, Bentleigh	$441,000
10/2-4 Faulkner Street, Bentleigh	$109,000
Total Liabilities	**$2,231,000**

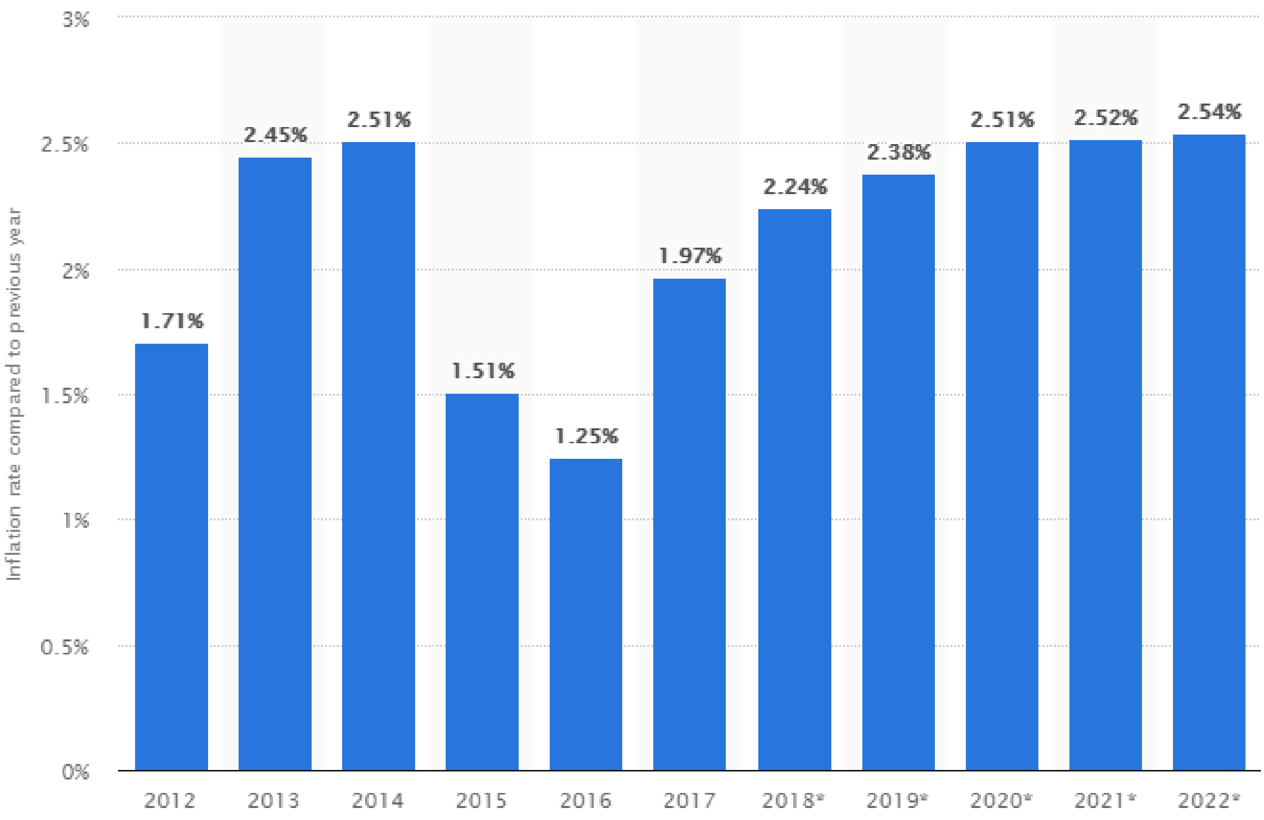
NET WORTH	**$7,488,232**

Surplus Funds

- Rohan, as a result of your recent Trauma claim, you have surplus funds of approximately $900,000.
- You seek advice with respect to the most appropriate investment vehicle for these funds.
- You would like to invest $500,000 of these monies in 'secure' type investments that offer a return that is greater than inflation and have little or no risk of capital reduction.
- The remaining funds are to be invested in low cost managed funds as you have no desire to invest in direct shares at this stage.

Inflation Rate

- For reference purposes, the historical and projected inflation rate for Australia is detailed in the graph below:



Asset Allocation

- Based on the criteria outlined above, we would suggest that the funds be invested in the following manner:

Investment	Asset Class	Amount	% of Total Portfolio
Term Deposit	Fixed Interest	$250,000	27.78%
Investment Bond	Fixed Interest	$250,000	27.78%
Managed Fund	Aus Equities	$175,000	19.44%
	Int Equities	$125,000	13.89%
	Property	$100,000	11.11%
		$900,000	**100.00%**

Investment Options

Term Deposit

The highest rates currently available for term deposits of $250,000 for a term of 12 months are:

ME Bank	-	2.80%
Bank of Queensland (BOQ)	-	2.70%
ING Direct	-	2.70%

It is suggested to invest $250,000 in a term deposit with ME Bank to avail of the highest interest rate available. This should be reviewed after 12 months, with the capital and interest to be reinvested at this time.

Investment Bonds

An investment bond is technically a life insurance policy so you need to nominate a life to be insured and a beneficiary. It is a long-term investment with features similar to a managed fund combined with an insurance policy.

Investment bonds can be tax effective for long term investors with a marginal tax rate higher than 30%, as long as certain rules are followed. Your money is pooled with money from other investors and a portion of the pooled funds is then invested in the investment options each investor chooses.

Most investment bonds offer investment options such as cash, fixed interest, shares, property, infrastructure or a range of diversified investment options, with risk levels ranging from low risk to high risk. The value of the investment bond will rise or fall with the performance of the underlying investments.

An investment bond is designed to be held for at least 10 years. You can make additional contributions over the life of the bond. To make the most of the tax benefits, each year you can contribute up to 125% of your previous year's contribution.

Withdrawals
Money can be withdrawn from the investment bond at any time, however if you withdraw your money before the 10 years is up, some of the income may be taxable, depending on when the withdrawal is made. If no withdrawals are made in the first 10 years any earnings on the bond will be tax free.

Rules for investment bonds
10 year rule
Investment bonds are tax paid investments. This means when earnings on the investment are received by the insurance company, they are taxed at the corporate tax rate (currently 30%) before being reinvested in the bond. This can make investment bonds a tax effective long term investment for those with a marginal tax rate higher than 30%.

If you hold the bond for at least 10 years the returns on the entire investment, including additional contributions made, will be tax free subject to the 125% rule.

If you make a withdrawal within the first 10 years, the rate at which earnings in the investment bond are taxed will depend on when you make the withdrawal.

Year withdrawal made	Tax treatment
Withdrawals within 8 years	100% of the earnings on the investment bond are included in your assessable income and a 30% tax offset applies*.
Withdrawals in the 9th year	2/3 of earnings on the investment are included in your assessable income and a 30% tax offset applies.
Withdrawals in the 10th year	1/3 of earnings on the investment are included in your assessable income and a 30% tax offset applies.
Withdrawals after the 10th year	All earnings on the investment are tax free and do not need to be included in your assessable income.

* The 30% tax offset compensates for the tax already paid on earnings by the investment provider.

The 125% rule
Investors in investment bonds can make additional contributions each year. As long as the contribution does not exceed 125% of the previous year's contribution, it will be considered part of the initial investment. This means each additional contribution does not need to be invested for the full 10 years to receive the full tax benefits.

If contributions are made to the investment bond that exceed 125% of the previous year's investment, the start date of the 10 year period will reset to the start of the investment year in which the excess contributions are made. You will then have to wait a further 10 years from this date to gain the full tax benefits.

No contributions in a year
If you do not make a contribution to the investment bond in one year, any contributions in following years will reset the 10 year rule.

Benefits of investment bonds

- Can be a tax effective long-term investment.
- Most offer a wide range of investment options to cater for different investment strategies and risk profiles.
- Can be an effective way to save for a child's future.
- Investments are not normally subject to capital gains tax.

Risks of investment bonds

- You will pay fees, which vary widely depending on the issuer of the investment bond and the investment options chosen.
- They can be slower than some investments to convert the balance to cash and some investment bonds have minimum balances that must be maintained.
- You are relying on the skills of other people to manage your investment, and you do not have direct control over investment decisions.
- If you need to withdraw some of your money before the 10-year period is reached some of the tax benefits will be lost.

Investment Bonds Options

There are a wide range of Investment Bond providers, all of which offer products with similar features. Keeping in mind your preference for conservative investments, the following Investment Bonds are deemed suitable. The **$250,000** investment could be spread across the separate Investment Bonds for further diversification:

1. Comminsure Investment Growth Bond

Investment Option	Asset Class	% of Total Portfolio
Diversified	Aus Equities	18.1%
	Int Equities	18.7%
	Alternatives	15.9%
	Fixed Interest	22.5%
	Cash	24.8%
		100.00%

Performance figures as at 31/03/18 are as follows:

Investment Option	1 year (p.a.)	3 years (p.a.)	5 years (p.a.)
Diversified	2.82%	2.35%	3.84%

2. AMP Growth Bond

Investment Option	Asset Class	% of Total Portfolio
AMP Australian Bond	Fixed Interest	100%
		100.00%

Performance figures as at 31/03/18 are as follows:

Investment Option	1 year (p.a.)	3 years (p.a.)	5 years (p.a.)
Australian Bond	1.5%	0.99%	2.26%

3. IOOF Wealthbuilder

Investment Option	Asset Class	% of Total Portfolio
Conservative	Aus Equities	11%
	Int Equities	9%
	Alternatives	5%
	Property	10%
	Fixed Interest	42%
	Cash	23%
		100.00%

Performance figures as at 31/12/17 are as follows:

Investment Option	1 year (p.a.)	3 years (p.a.)	5 years (p.a.)
Diversified	3.86%	N/A*	N/A*

* Inception date is 16/12/2015

Managed Fund Options

To further diversify your overall portfolio, we recommend the remaining funds ($400,000) to be invested in a tailored portfolio within the Colonial First Choice Wholesale Investments Platform. The specific underlying funds recommended below have been selected based on:

- Providing diversification across the Australian Equity, International Equity and Property asset classes
- An emphasis on funds whose aim is to provide income (via distributions), together with capital growth
- Providing a mix of index and actively managed funds

The specific underlying funds that make up this portfolio would be:

Asset Class	% of Portfolio	Value
BT Wholesale Core Australian Share	18.75%	$75,000
CFS Index Australian Share	25.00%	$100,000
CFS Index Global Share	13.25%	$53,000
Realindex Global Share	18.00%	$72,000
BT Wholesale Property Investment	10.00%	$40,000
CFS Index Property Securities	15.00%	$60,000
	100%	**$400,000**

Benefits:

- The Colonial Platform offers flexibility in terms of offering access to in excess of 100 underlying funds that can be incorporated into your portfolio
- The underlying funds are a mix of index funds and those actively managed by a diverse range of fund managers
- You will receive ongoing advice and reporting

The historical performance^ of the proposed portfolio is detailed in the table below:

Fund	1 year	3 years	5 years	Since inception	Inception date
BT Wholesale Core Australian Share	**7.08%**	**4.88%**	**9.34%**	**8.07%**	23/04/2002
Distribution Return	*13.66%*	*10.52%*	*8.85%*	*6.04%*	
Growth Return	*-6.58%*	*-5.64%*	*0.49%*	*2.03%*	
CFS Index Australian Share	**2.16%**	**3.41%**	**7.31%**	**7.91%**	13/07/2004
Distribution Return	*3.91%*	*4.11%*	*4.26%*	*7.08%*	
Growth Return	*-1.74%*	*-0.70%*	*3.04%*	*0.83%*	
CFS Index Global Share	**12.93%**	**7.66%**	**16.53%**	**6.520%**	13/07/2004
Distribution Return	*6.12%*	*5.46%*	*4.47%*	*2.99%*	
Growth Return	*6.81%*	*2.20%*	*12.07%*	*3.53%*	
Realindex Global Share	**14.28%**	**7.79%**	**15.51%**	**9.76%**	17/11/2008
Distribution Return	*9.15%*	*11.78%*	*9.28%*	*5.59%*	
Growth Return	*5.13%*	*-4.00%*	*6.23%*	*4.17%*	
BT Wholesale Property Investment	**-1.38%**	**4.64%**	**9.67%**	**6.12%**	23/04/2002
Distribution Return	*14.33%*	*9.37%*	*7.49%*	*7.93%*	
Growth Return	*-15.71%*	*-4.74%*	*2.19%*	*-1.81%*	
CFS Index Property Securities	**-1.13%**	**5.18%**	**10.36%**	**4.27%**	13/07/2004
Distribution Return	*5.00%*	*4.05%*	*4.53%*	*7.44%*	
Growth Return	*-6.13%*	*1.13%*	*5.83%*	*-3.17%*	

^ Performance figures are net of MER for the managed fund options as at 31/03/18.

Colonial FirstChoice Wholesale Investments

The FirstChoice Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

A minimum total investment of $5,000 ($1,500 for super) is required to establish an account in FirstChoice Investments. A $1,000 minimum initial balance is required if a regular investment plan is set up at commencement of the account. The minimum regular investment plan amount is $100 per month.

Reasons and Benefits

The major features of the Colonial FirstChoice Investments are as follows:

Sector Specific Diversification

A strong range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

Simplicity

Consolidated reporting from Colonial First State.

Ease of Management

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

- We recommend that annual automatic rebalancing is elected.

Highly competitive and simple to understand fee structure

- No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one off fee for upfront costs.
- You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.
- No switching fees or exit fees apply to this investment.

Colonial FirstChoice Management Fee

Colonial FirstChoice charges a Management Expense Ratio (MER) to cover their administration costs and the associated costs of managing your funds. Based on your proposed portfolio value, we have provided an estimation of the costs you will pay. The MER is included within the performance figures of each fund (i.e. it is an indirect cost).

Colonial FirstState FirstChoice Investments	MER %	Amount invested ➊ $	Estimated fee $
BT Wholesale Core Australian Share	1.01%	$75,000	$757
CFS Index Australian Share	0.41%	$100,000	$410
CFS Index Global Share	0.53%	$53,000	$281
Realindex Global Share	0.78%	$72,000	$561
BT Wholesale Property Investment	1.06%	$40,000	$424
CFS Index Property Securities	0.41%	$60,000	$246
Total ongoing fees➊	**0.71%**	**$400,000**	**$2,679**

➊ Colonial FirstChoice's Management Fee is calculated on the value of your total portfolio. As such we have used your proposed portfolio to estimate your annual ongoing fee.

What is paid to your adviser

Plan Fee

As part of the recent AIA Trauma insurance claim, you are entitled to an additional Financial Planning benefit of $3,000 which covers the fee for this Statement of Advice.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a "cooling-off" period in which to change your mind if you don't think the product meets your needs. The cooling-off period usually starts when you're told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don't guarantee they're the best available or that they'll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non Superannuation Products

Yes, when making non superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Complete the application forms in the Product Disclosure Statements
- Sign and date the Authority to Proceed
- Return the forms to us
- Retain a copy for your records

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.